IN THE NATIONAL COMPANY LAW TRIBUNAL

COURT V, MUMBAI BENCH

C.A. (CAA) 217/MB/2021

In the matter of the Companies Act, 2013

AND

In the matter of Sections 230 to Section 232 of the Companies Act, 2013 and other applicable provisions the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016

AND

In the matter of Scheme of Amalgamation of Sterlite Ports Limited ('Transferor Company 1'), Paradip Multi Cargo Berth Private Limited ('Transferor Company 2'), Maritime Ventures Private Limited ('Transferor Company 3'), Goa Sea Port Private Limited ('Transferor Company 4') with and into Sesa Mining Corporation Limited ('Transferee Company' or 'the Applicant Company') and their respective Shareholders and

Creditors ('the Scheme' or 'this Scheme')

Details of the Applicant Company:

Sesa Mining Corporation Limited,
a Company incorporated under the provisions of
Companies Act, 1956 having its registered office
at Sesa Ghor, 20 EDC Complex, Patto, Panaji,
Goa – 403 001

…… The Applicant Company / Transferee Company

Order delivered on 02.02.2022

CORAM:

Hon'ble Ms. Suchitra Kanuparthi, Member (Judicial)
Hon'ble Ms. Anuradha Sanjay Bhatia, Member (Technical)

FOR THE APPLICANT COMPANY: CA Rahul Atal i/b A R C H AND ASSOCIATES, Authorized Representatives for the Applicant Transferee Company.

Per: Suchitra Kanuparthi, Member (Judicial)

ORDER

1. The Court convened through videoconference.

2. The Authorized Representative for the Applicant Company submits that the present Scheme is a Scheme of Amalgamation for merger of Sterlite Ports Limited ('Transferor Company 1'), Paradip Multi Cargo Berth Private Limited ('Transferor Company 2'), Maritime Ventures Private Limited ('Transferor Company 3'), Goa Sea Port Private Limited ('Transferor Company 4') with and into Sesa Mining Corporation Limited ('Transferee Company' or 'the Applicant Company') and their respective Shareholders and Creditors under sections 230 to 232 of the Companies Act, 2013.

3. The Authorised Representative of the Applicant Company submits the registered offices of the Transferor Company 1, the Transferor Company 2, the Transferor Company 3 and the Transferor Company 4 (hereinafter collectively referred to as "the Transferor Companies") are situated in the State of Tamil Nadu within the Jurisdiction of the Hon'ble National Company Law Tribunal at Chennai. The directions with the respect to the aforesaid Transferor Companies is sought before the aforesaid Jurisdictional Bench vide a separate application filed before the Hon'ble Tribunal at Chennai. This Application is filed for seeking directions before this Hon'ble Tribunal with respect to the Applicant Transferee Company having registered office in the State of Goa.

4. The Authorized Representative for the Applicant Company submits that the Transferor Company 1 is, inter-alia, engaged in the business to set up, acquire, design, build, construct, own, operate and manage ports, jetties, berths, post terminals, handling facility at ports, railway lines, railway sidings, railway yards, roads and stations.

5. The Authorized Representative for the Applicant Company submits that the Transferor Company 2 is, inter-alia, engaged in the business to set up a multipurpose berth to handle clean cargo including containers at Paradip Port, situated in the Jagatsinghpur District of Orissa, on east cost of India. The project is to be carried out on design, build, finance, operate and transfer basis.

6. The Authorized Representative for the Applicant Company submits that the Transferor Company 3 is, inter-alia, engaged in the business to render logistics stevedoring which includes cargo handling activities, CHA activities, railway – oriented activities etc., and other allied services in Ports and other allied sectors in Vishakhapatnam.

7. The Authorized Representative for the Applicant Company submits that the Transferor Company 4 is, inter alia, engaged in the business to set up, develop, establish, construct, operate and maintain a project related to redevelopment of certain berths.

8. The Authorized Representative for the Applicant Company submits that the Applicant Transferee Company is primarily engaged in the business of mining and export of iron ore. The Company's mining operations are all situated in Goa.

9. The Authorized Representative for the Applicant Company submits that the Rationale for the Scheme is as under:

With the intent of consolidating the business operations undertaken by the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and the Transferee Company, the Board of Directors of said Companies now propose, by way of this Scheme to amalgamate the Transferor Company 1, Transferor Company 2, Transferor Company 3 and Transferor Company 4 with the Transferee Company in accordance with the terms hereof. The amalgamation of the Transferor Company 1 and Transferor Company 2, Transferor Company 3 and Transferor Company 4 with the Transferee Company would inter-alia have the following benefits:

- The amalgamation of five Companies will result in the consolidation of the business operations undertaken by the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and Transferee Company.
- The amalgamation would result into reduction of intercompany transactions, if any, inter-se between the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and the Transferee Company.
- The amalgamation of Companies will result in the consolidation of the value in Transferee Company.
- As a result of amalgamation, there would be reduction in number of the companies leading to reduction in compliance requirements.
- The amalgamation will result in reduction in overheads, administrative, managerial and other expenditure, and optimal utilization of various resources due to consolidation of activities.

- The amalgamation of the companies will lead to greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business.
- The Scheme shall be beneficial and in the best interests of the shareholders and creditors of the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and the Transferee Company and all concerned.

In view of the aforesaid, the Board of Directors of the Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and Transferee Company have considered and proposed the amalgamation of Transferor Company 1, Transferor Company 2, Transferor Company 3 and Transferor Company 4 with the Transferee Company. Accordingly, the Board of Directors of Transferor Company 1, Transferor Company 2, Transferor Company 3, Transferor Company 4 and Transferee Company have formulated this Scheme of Arrangement pursuant to the provisions of Sections 230 to Section 232 and other relevant provisions of the Companies Act, 2013 including any amendment(s) thereunder.

10. The Authorised Representative for the Applicant Company further submits that upon merger of the Transferor Companies with the Transferee Company, the following consideration shall be discharged by the Transferee Company for the amalgamation of the Transferor Companies under the Scheme:
    - *Four Hundred Thirty-One (431) Equity shares of the face value of INR 100 each credited as fully paid up in the share capital of the Transferee Company for every One Hundred (100) fully paid-up*

equity shares of the face value of INR Two (2) each held in Transferor Company 1;

- *Ten (10) Equity shares of the face value of INR 100 each credited as fully paid up in the share capital of the Transferee Company for every One Hundred (100) fully paid-up equity shares of the face value of INR Ten (10) each held in Transferor Company 2*
- *No consideration to be issued on amalgamation of the Transferor Company 3 and the Transferor Company 4 with the Transferee Company as they will become wholly-owned subsidiaries of the Transferee Company (post amalgamation of the Transferor Company 1 and the Transferor Company 2 with the Transferee Company)*

11. The Authorised Representative for the Applicant Company submits that the Board of Directors of the Applicant Company vide resolution dated 21st July 2021, approved the Scheme of Amalgamation of Sterlite Ports Limited, Paradip Multi Cargo Berth Private Limited, Maritime Ventures Private Limited, Goa Sea Port Private Limited with and into Sesa Mining Corporation Limited and their respective Shareholders and Creditors. The Appointed Date of the Scheme is 1st October 2020.

12. That the meeting of the Equity Shareholders of the Applicant Transferee Company be dispensed in view of the Consent Affidavits in support of Company Scheme Application received from all the Equity Shareholders of the Applicant Transferee Company, which are annexed as **Exhibit 'M1'** Colly. to the Company Scheme Application.

13. In view of the fact that all the Equity Shareholders of the Applicant Transferee Company have given their consent affidavits, the meetings of the Equity Shareholders of the Applicant Transferee Company are hereby dispensed with.

14. The Authorised Representative of the Applicant Transferee Company submits that there are no Secured Creditors in the Applicant Transferee Company. Therefore, the question of convening and holding of the meeting of the Secured Creditors of the Applicant Transferee Company does not arise.

15. The Transferor Company No. 1 has 2 (two) Unsecured Creditors amounting to Rs. 5,56,58,444/- as on 01.08.2021, the Transferor Company No. 2 has 4 (four) Unsecured Creditors amounting to Rs. 5,66,05,363/- as on 01.08.2021, the Transferor Company No. 3 has 29 (twenty-nine) Unsecured Creditors amounting to Rs. 6,23,22,665/- as on 01.08.2021, the Transferor Company No. 4 has 1 (one) Unsecured Creditors amounting to Rs. 3,34,28,199/- and the Transferee Company has 25 (twenty-five) amounting to Rs. 2,686,305,519/- as on 31.07.2021.

16. That the meeting of the Unsecured Creditors of the Applicant Transferee Company be dispensed in view of the Consent Affidavits in support of Company Scheme Application received from 99.93% in value of the Unsecured Creditors of the Applicant Transferee Company, which are annexed to the Company Scheme Application. Without prejudice to the above, the Authorised Representative of the

Applicant Transferee Company further submits that convening and holding meeting of the Unsecured Creditors of the Applicant Transferee Company will not be required as the rights of the Unsecured Creditors of the Applicant Transferee Company is not affected by the proposed Scheme of Amalgamation and there will be no reduction in their claims since post Scheme, the assets of the Applicant Transferee Company will be sufficient to discharge its claims and further, proposed Scheme of Amalgamation also does not involve any compromise or arrangement with any Unsecured Creditors of the Applicant Transferee Company or the Transferor Companies. Further, the Applicant Transferee Company shall discharge its claims in due course of business since there is no arrangement or compromise proposed with any of the Unsecured Creditors as contemplated under Section 230(1)(b) and not in accordance with the provisions of Section 230(1)(a) of the Companies Act, 2013 as there is no Compromise and/or Arrangement with the unsecured creditors as no sacrifice is called for.

17. In view of the fact that 99.93% in value of the Unsecured Creditors of the Applicant Transferee Company have given their consent affidavits, the meeting of the Unsecured Creditors of the Applicant Transferee Company is hereby dispensed with. The Applicant Transferee Company undertakes to intimate its balance 0.07% Unsecured Creditors as on 31st July 2021, who have not provided consent affidavits in writing, about the proposed Scheme, by courier/registered post/ speed post/ hand delivery or through email, at their last known address or email address as per the records available with the Applicant Transferee Company, with a direction that they

may submit their representations, if any, within a period of thirty days from the date of receipt of such intimation to the Tribunal with copy of such representations shall simultaneously be served upon the Applicant Transferee Company, failing which, it shall be presumed that they have no representations to make on the proposals.

18. The Authorised Representative for the Applicant Company further clarifies that the Applicant Company will file petition and comply with the provision of service of notices upon all the regulatory authorities.

19. The Applicant Company are directed to serve notices of present Company Scheme Application along with its enclosures upon : - (i) concerned Income Tax Authority within whose jurisdiction the Applicant Transferee Company are assessed to tax, clearly indicating the PAN of the Applicant Transferee Company, (ii) the Central Government through the office of Regional Director, Western region, Mumbai, and (iii) Registrar of Companies, Goa, with a direction that they may, if they so wish, submit their representations, if any, within a period of thirty days (30) from the date of receipt of such notice to the Tribunal with copy of such representations shall simultaneously be served upon the Applicant Transferee Company, failing which, it shall be presumed that the authorities have no representations to make on the proposals.

20. The First Applicant Company is also directed to serve notice upon Official Liquidator, High Court, Bombay, pursuant to section 230(5) of the Companies Act, 2013 and as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The

Tribunal is appointing M/s B.A. Ved & Co., Chartered Accountants, having their address at B-152, Kalpataru Towers, off Akurli Road, Opp. ESIS Hospital, Kandiwali (East) Mumbai- 400101, having Mobile No. 9820071751, having an email id: vedbhavesh@gmail.com, to assist the Official Liquidator to scrutinize the books of accounts of the said First Applicant Company for the last 5 years and submit its report to the Tribunal. The First Applicant Company to pay fees of Rs 2,00,000/- for this purpose. If no representation/response is received by the Tribunal from Official Liquidator, High Court, Bombay within a period of 30 days from the date of receipt of such notice, it will be presumed that he has no representation / objection to the proposed Scheme as per rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

21. The Applicant Transferee Company shall file compliance report with the Registry with regard to the directions given in this Order in lieu of customary affidavit of service, due to the current COVID-19 pandemic situation prevailing now proving service of notices to the regulatory authorities as stated above and do report to this Tribunal that the directions regarding the issue of notices have been duly complied with.

22. Ordered Accordingly.

Sd/-	Sd/-
Anuradha Sanjay Bhatia	**Suchitra Kanuparthi**
Member (Technical)	**Member (Judicial)**